Michelle Morrison
Chief Financial Officer

Portland Public Schools
501 North Dixon Street • Portland, OR 97227
Phone: (503) 916-2000
www.pps.net

MEMORANDUM

Date: June 23, 2026
To: Portland Public Schools Board of Education
From: Michelle Morrison, Chief Financial Officer
CC: Superintendent Kimberlee Armstrong
Subject: 2026-27 PERS Reserve Transfer

BACKGROUND

On June 10, 2025, the Board adopted the 2025-26 (FY26) budget, which included a planned transfer of $23,961,548 from the PERS Rate Stabilization Reserve Fund (Reserve Fund) to the General Fund. The transfer was incorporated to offset the cost of both the PERS rate charged to all PERS-eligible district payroll and the personnel benefits rate internally charged to cover annual PERS UAL debt service.[1]

The Reserve Fund was established by the Board in 2003 and is governed by parameters adopted in Resolution 4471. That resolution sets conditions and calculation limits for transfers from the Reserve Fund to the General Fund. The resolution before the Board provides explicit authorization for the full transfer amount reflected in the FY26 adopted budget and approves a one-time exception to the calculation limitations in Resolution 4471.

FISCAL IMPACT

Approval of this resolution authorizes a one-time transfer of $23,961,548 from the PERS Rate Stabilization Reserve Fund to the General Fund. This transfer was reflected in the FY26 adopted budget and does not represent a new or unplanned expenditure. The transfer offsets PERS-related costs in the General Fund and reduces the balance of the Reserve Fund accordingly.

[1] PERS UAL debt service is the payroll rate required to pay the principal and interest on the PERS Bonds

STAFF RECOMMENDATION

Staff recommends the Board approve the resolution authorizing the exception to the calculation limits tied to the June 30, 2011 PERS rates for a one-time transfer of $23,961,548 from the PERS Rate Stabilization Reserve Fund to the General Fund as provided in the FY26 adopted budget. The calculations described in Resolution 4471 are reflective of the 2011 year and do not adequately reflect the transfer authorized by the 2025-26 Adopted Budget.

ATTACHMENTS

A. Resolution Transfer from PERS Rate Stabilization Reserve Fund to General Fund

B. Exhibit A — Resolution 4471 Parameters for Funding and Expenditure of Reserve Resources